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- A surprising number of buyers are preferring cashflow negative assets in stronger markets over cashflow positive communities in weaker markets. The assumption is that continued inflation puts pressure on increasing rents, and weaker markets can't continue to support near double-digit percentage increases every year. Showing that a community can consistently sustain rental increases continues to be a priority for buyers.
- Skilled nursing surveyors have accelerated their retirement due to COVID. This has caused a void of labor in state survey agencies, resulting in an increase in trainees appearing for Full Book and Complaint surveys. Even with smaller facilities, we've seen up to 10 surveyors/trainees on site before. Lead surveyors now want these visits to double as training sessions so they **create additional citations** as examples to show trainees.
- In early 2020, 30% of Skilled days were Managed care, Medicare Advantage, or Medicare Replacement plans. Today, that is **near 50% of skilled patient days**. Providers are realizing they must embellish these Medicare Partnership Plans for the future; prompting facilities to train sales leaders, contract negotiators and case management teams.
- Risk retention groups are becoming more popular as an alternative to traditional liability insurance. Most of these are accepted by lenders; so long as they have a strong Demotech rating. These policies offer more flexibility in coverage via an a la carte style selection.
- Operators are considering creative ways to utilize unoccupied units in their communities. Owners have leased-out empty wings to third-party behavioral healthcare groups, specialized therapy companies, or even opioid treatment centers.
- Assisted Providers are preferring to run single private rooms as opposed to doubling up Medicaid residents. Even in favorable reimbursement states, the cost to staff a larger resident population often outweighs the marginal revenue increase. Furthermore, some states continue implementing additional payroll costs for employee-counts over 50 (paid family leave, extended sick leave, etc.)
- There is a **~25% increase** in Property Insurance costs year over year. Even low-risk geographic areas are facing these increases as carriers offset their losses incurred from major hurricanes and tropical storms impacting other parts of their coverage base.
- Successful communities are taking a more aggressive approach in marketing. This includes following up with residents by visiting their homes to give a small gift to or bringing over lunch that the community is serving that day.
- To combat shorter lengths of stay and higher resident turnover, standalone ALZ providers are establishing referral relationships with hospital administrators, physicians, skilled nursing facilities, local real estate brokers, chambers of commerce, and churches to secure residents.
- In higher income markets, children are choosing to **build ADU's** (accessory dwelling units) onto their existing homes as opposed to moving their parents into a higher-end senior community. These ADU's can add value to their property and be easily financed in markets with strong real estate values. The cost to finance the construction of an ADU and having a caretaker come a few times a week can be significantly lower than that of a high-end community.

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